

Sector Underwriting Note: Retail Trade

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Retail Trade SME Lending Sector Underwriting Note

1. Introduction

This note provides specific underwriting guidelines for Retail Trade SME lending at Ashva Capital. The sector includes businesses engaged in the sale of goods and services to consumers, such as department stores, specialty stores, and e-commerce platforms.

2. Working Capital Cycle

Typically, the working capital cycle in the Retail Trade sector ranges from 60 to 90 days. However, this can be influenced by factors such as the product's shelf life, supply chain complexities, and seasonal fluctuations.

3. DSCR Floor

The Debt Service Coverage Ratio (DSCR) floor for the Retail Trade sector is 1.50x, which is higher than the standard threshold of 1.25x to account for the sector's unique cash flow dynamics.

4. Seasonality Adjustments

To account for seasonal fluctuations in cash flow, the following adjustments will be made:

- A 10% cushion will be applied to the base DSCR during peak seasons (June to August and December).
- A 5% reduction in the base DSCR will be applied during off-peak seasons (January to May and September to November).

5. Key Risks and Causes of Distress

The two most common causes of distress in the Retail Trade sector are:

- Inventory management issues, resulting from overstocking or understocking of products, which can lead to significant working capital outlays.
- Competition from online retailers and shifting consumer behavior, which can impact sales and revenue growth.

6. Collateral

Acceptable collateral types for Retail Trade SME lending include:

- Inventory and stock-in-trade
- Trade receivables (subject to a maximum 70% LTV ratio)
- Property and equipment (subject to a maximum 60% LTV ratio)

7. Maximum Exposure

The maximum exposure the lender will hold in the Retail Trade sector as a percentage of book is 12%.

8. Numeric Thresholds

The following numeric thresholds will be applied to Retail Trade SME lending:

- Minimum average monthly revenue: INR 5 million (approximately USD 65,000)
- Maximum cash flow leverage ratio: 1.00x (no cash flow reserve requirement)
- Maximum interest coverage ratio: 2.00x
- Maximum debt service-to-income ratio: 30%

By following these guidelines, Ashva Capital aims to maintain a prudent and risk-aware approach to Retail Trade SME lending, while also catering to the unique needs and requirements of this sector.